

I mentioned earlier that “soft” inquiries do not affect the calculation of the credit score. “Hard” inquiries do. When you apply for a mortgage, a loan, or a credit card, they will inquire to get your credit report. These hard inquiries stay listed on the credit report for two years, but for one year, they will negatively impact your credit score. How harebrained is that? A company needs to verify your credit score before giving you a loan, but the act of them requesting your information adversely affects your credit score for that year. That is unfair.

TMI ~ Too Much Information

Although it may seem that all your private details are laid bare for the world to see, your private information should indeed only be accessed by those with a legal right to see your credit report. When you are reviewing your credit report, make sure you read through the list of inquiries to verify that no one is viewing your information that has no right to do so. Your busybody neighbor, your nosy ex-mother-in-law, and your barber have no justifiable reasons for checking out your credit history.

In the next chapter, I’ll tell you how to get your credit report and credit score, and what to do with it once you have it. For now, we should simply try to understand what the darn thing is. The credit report information is compiled by the big three credit reporting agencies – Experian, TransUnion, and Equifax – and it is ongoing. Every month, each creditor, bank, and collection agency that you are actively dealing with reports your payments, or lack of payment, to these agencies. They can report to one, two, or all three. They are only required to report to one. Your credit report and your credit score are thus continually updated.

Most
Americans –
75% – do not
know their
credit score.

FYI

In general, your medical bills and your utility bills are not considered credit, so they do not show up on your credit report. If you pay these bills timely every month, you will not get the benefit of it affecting your credit score in a positive way. However, if you do not pay these